



Let's consider if the market falls suddenly and gets near the 18,000 level and we are still left with a few days to close all the legs of the strategy. In such a situation, if we don't do adjustments, we will incur losses if the market moves beyond the 18,000 level. To reduce the risk, we will close the call side legs and buy one more put option of 8th June 2023 Nifty 18750 PE.

PAYOFF CHART

RESET

Strategy Positions

-1x 01JUN2023 18550CE - ₹ 27.1 (0)

-1x 01JUN2023 18000PE - ₹ 28.6 (0)

+1x 08JUN2023 17850PE - ₹ 34.05 (0)

+1x 08JUN2023 18700CE - ₹ 28.75 (0)

76.09%

Max. Profit
₹ +2,666 (6.08%)

Max. Loss
₹ -9,037 (-20.60%)

Max. RR Ratio
1:0.3

Breakevens
17920.0-18616.0

Total PNL
₹ 0

Max Profit

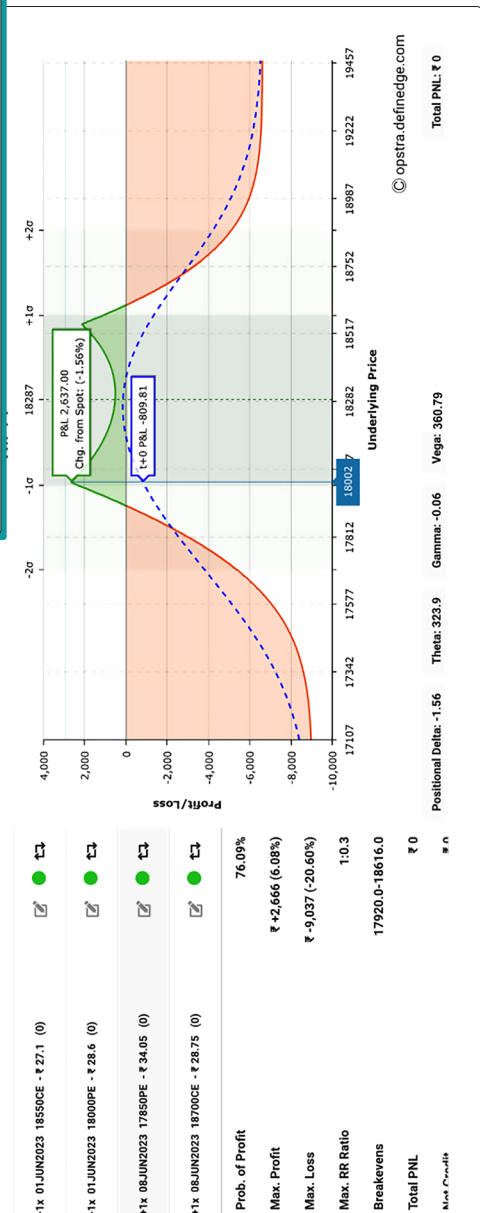
Positional Delta: -1.56

Theta: 323.9

Gamma: -0.06

Vega: 360.79

Total PNL: ₹ 0



In both the cases above, there is a possibility of market pivoting after adjustments. Adding one more option will also increase the risk as we have Theta decay working against us. In such adverse scenarios, it is always preferable to close all the legs once we have incurred 75% of the total loss. For example, the maximum loss in this strategy is Rs. 5000. So, we will book our loss when there is a loss of Rs. 3,750 in the P&L. Adjustments can lead to extra brokerage charges. This is why, to save the remaining money, we will not wait for the market to book 100% of the total loss. Rather, we will book once we incur 75% of the total loss.